CONSUMPTION

THE BIG REBOUND

Consumer appetite has grown across automobiles, durables and FMCG, helped by lower prices and a tweak in GST slabs



AUTOMOBILE

Two-wheelers
4,053
3,327
22%



Three-wheelers
174
160
9%



Commercial vehicles
140
121
15%



Passenger vehicles
767
622
23%



Tractors
97
85
14%



Units sold (in '000) in festive period
2025 2024 YoY rise

Source: FADA Research

CONSUMER DURABLES

All-India growth in value (%)
YoY (October '24–October '25)

Overall tech and durables category	12.3
Telecom	15.1
Major domestic appliances	5.8
Consumer electronics	7.4
IT products	15.2
Small domestic appliances	12.1

FMCG

All-India growth in value (%)
YoY (October '24–October '25)

Overall FMCG category	11.6
Food	13.4
Staples	20.4
Impulse items*	10
Home and personal care	8

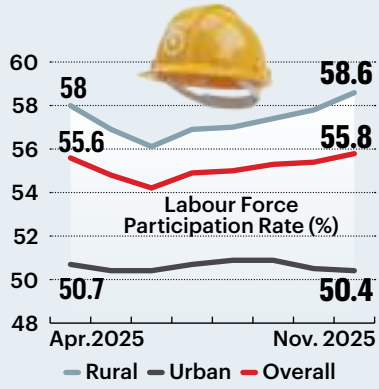
**low-cost items bought on whim like snacks, chocolates etc.*

Source: NielsenIQ

EMPLOYMENT

LABOUR BOOST

By November, largest share of working-age Indians were either employed or actively seeking work this fiscal



Source: MoSPI

REPO RATE

LIQUIDITY PUSH

RBI aims to spur further growth. Fourth rate cut in 2025 took cumulative easing to 125 basis points—steepest since 2019

Effective Date	Repo Rate (%)	Drop (% point)
Dec. 6, '24	6.50	—
Feb. 7, '25	6.25	0.25
Apr. 9, '25	6.00	0.25
Jun. 6, '25	5.50	0.50
Dec. 5, '25	5.25	0.25

Source: Bankbazaar.com



"This (GST rate cuts) is a one-time event... one has to look at growth 12 months from now when people will have digested this"

RAJIV MEMANI, *President, CII*

had other plans. It lowered the repo rate by 25 basis points to 5.25 per cent on December 5, supporting growth further.

This was the fourth rate cut of the year, taking the cumulative easing in 2025 to 125 basis points, the steepest monetary loosening since 2019. The move came alongside a liquidity injection of nearly Rs 1 lakh crore through open market purchases of government securities and a $5 billion rupee-dollar swap, ensuring the banking system had enough cash to transmit the lower rates. The message was clear: the RBI is leaning towards growth.

For households, the rate cuts promise direct relief. Borrowers with floating rate home loans and car loans will see EMIs fall. For the middle-class consumer, lower inflation means their real incomes are less eroded. The cumulative effect is a potent one: households have more disposable income, cheaper credit and lower prices—a recipe for a consumption rebound.